

in the US, offering investors fantastic profits. His system, now known as a “Ponzi scheme,” was to pay the first investors with money he got from subsequent investors. Because the profits the early investors got were so high, he rapidly attracted more investors, and made millions of dollars before he was found out.

**NO MAN'S CREDIT IS AS
GOOD AS HIS MONEY.**

JOHN DEWEY, AMERICAN PHILOSOPHER



BERNIE MADOFF

After [Ponzi's](#) massive fraud, most investors were suspicious of any investment that seemed too good to be true. But 60 years later, thousands of people were taken in by the biggest fraud the US has ever seen. Investment adviser Bernie Madoff was jailed in 2009 for running a Ponzi scheme for more than 25 years, costing his clients a total of about \$18 billion.



In the 1920s, Charles Ponzi's investors lost a total of about \$20 million, more than \$200 million today.

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